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Case Number: NAIH-2880-11/2023.

Subject: Decision establishing a violation

(NAIH-6152/2022.)

DECISION

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] (hereinafter: Applicant) submitted a request to the Authority on July 4, 2022, regarding the examination of the source of personal data processed by [...] (headquarters: [...]; company registration number: [...]; tax number: [...]; hereinafter: Respondent). Furthermore, the Authority initiated an ex officio data protection authority procedure to investigate the compliance of the Respondent's general data processing practices concerning the collection of users' personal data with the Regulation (EU) 2016/679 on the protection of individuals with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (hereinafter: General Data Protection Regulation), and makes the following decision:

I. The Authority establishes, at the request of the Applicant, that the Respondent has violated Article 15(1)(g) of the General Data Protection Regulation.

II. The Authority establishes ex officio that the Respondent has violated Article 5(2) and Article 24(1) of the General Data Protection Regulation.

III. The Authority instructs the Respondent ex officio to align its data processing operations with the provisions of the General Regulation in accordance with the reasoning of this decision and to provide evidence of compliance to the Authority.

IV. Due to the violations established in points I and II, the Authority imposes an administrative fine of 1,000,000 HUF, that is, one million forints on the Respondent.

* * *

The Respondent must take the measures prescribed in point III within 30 days from the finalization of this decision and must provide written evidence – along with supporting documents – to the Authority.

The administrative fine must be paid within 30 days from the finalization of this decision to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to the NAIH-2880/2023. FINE number.

If the Respondent fails to meet the payment obligation within the deadline, it is obliged to pay a late fee to the above account number. The amount of the late fee is the statutory interest, which corresponds to the central bank base rate valid on the first day of the calendar half-year affected by the delay.

In case of non-compliance with the obligation in point III, as well as non-payment of the administrative fine and the late fee, the Authority orders the enforcement of the decision.

No procedural costs were incurred during the data protection authority procedure, therefore the Authority did not rule on the bearing of such costs.

There is no administrative remedy against this decision, but it can be challenged in an administrative

lawsuit before the Metropolitan Court within 30 days from the communication of the decision by submitting a statement of claim addressed to the Metropolitan Court. The statement of claim must be submitted electronically to the Authority, which will forward it to the court along with the case documents. A request for a hearing must be indicated in the statement of claim. For those not fully exempt from personal fees, the fee for the administrative lawsuit is 30,000 HUF, and the subject matter of the lawsuit is subject to fee exemption. Legal representation is mandatory in proceedings before the Metropolitan Court.

REASONING

I. Procedure Overview

(1) The Applicant submitted a request for the initiation of a data protection authority procedure to the Authority on July 4, 2022.

(2) The Authority notified the Respondent of the initiation of the data protection authority procedure in its decision dated July 21, 2022, with case number NAIH-6152-2/2022, and called for a statement to clarify the facts.

(3) The Respondent answered the Authority's questions in its letter registered on August 3, 2022, with case number NAIH-6152-3/2022.

(4) Considering that the information available to the Authority was insufficient for decision-making, the Authority again called for a statement from the Respondent in its decision dated September 7, 2022, with case number NAIH-6154-4/2022 to establish the facts.

(5) The Respondent answered the Authority's questions in its letter submitted electronically and registered on September 13, 2022, with case number NAIH-6152-5/2022. The same letter was also sent by the Respondent by post, which the Authority registered on September 20, 2022, under case number NAIH-6152-6/2022.

(6) Subsequently, the Applicant submitted a request for access to documents in its letter registered on October 28, 2022, with case number NAIH-6152-7/2022.

(7) At the request of the Applicant, the Authority provided access to the documents in its decision dated November 4, 2022, with case number NAIH-6152-8/2022, scheduling it for either November 22 or November 24, 2022, at the Applicant's choice. The Applicant indicated November 22, 2022, in its letter registered on November 16, 2022, with case number NAIH-6152-10/2022.

1 The form for initiating the administrative lawsuit is the NAIH_K01 form: NAIH_K01 form (2019.09.16.) The form can be filled out using the general form filling program (ÁNYK program). The form is available at the following link: <https://naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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as the day of document inspection. Nevertheless, the procedural act took place on November 24, 2022, after the Applicant did not appear on November 22, 2022, for which a record was made under case number NAIH-6152-11/2022.

(8)

Furthermore, considering that the information available to the Authority was insufficient for decision-making, the Authority, in its order dated November 14, 2022, case number NAIH-6154-9/2022, called upon the Respondent to provide a statement again to establish the facts.

(9)

The Respondent answered the Authority's questions in its electronic letter registered on November 30, 2022, case number NAIH-6152-12/2022, and in a postal letter with the same content registered on December 5, 2022, case number NAIH-6152-13/2022.

(10)

Subsequently, the Authority, in its order dated February 6, 2023, case number NAIH-2880-1/2023, called upon the Applicant to provide a statement to clarify the facts.

(11)

The Applicant responded to the Authority in its reply letter registered on February 21, 2023, case number NAIH-2880-2/2023.

(12)

In light of the Applicant's responses, the Authority, in its order dated March 8, 2023, case number NAIH-2880-3/2023, again called upon the Respondent to provide a statement.

(13)

The Respondent submitted its statement in a letter registered on March 16, 2023, case number NAIH-2880-4/2023.

(14)

Following this, the Authority informed the Respondent in its order dated March 22, 2023, case number NAIH-2880-5/2023, that the evidentiary procedure in the data protection authority proceedings had been completed and drew attention to the fact that the evidence uncovered during the clarification of the facts could be reviewed in accordance with the rules of document inspection, and further evidentiary motions could be submitted. The Authority provided the same information to the Applicant in its order dated March 23, 2023, case number NAIH-2880-6/2023.

(15)

The Respondent submitted a request for document inspection to the Authority in its letter registered on April 3, 2023, case number NAIH-2880-7/2023.

(16)

In accordance with the Respondent's request, the Authority, in its order dated April 5, 2023, case number NAIH-2880-8/2023, ensured the exercise of the Respondent's right to inspect documents by sending a simple copy of all documents generated during the proceedings that were not from the Respondent and had not been sent to them, which they had not known until then.

(17)

After becoming acquainted with the documents generated in the case, the Respondent made a statement in its letter registered on April 19, 2023, case number NAIH-2880-10/2023, and did not submit any further evidentiary motions.

(18)

The Applicant exercised their right to make a statement in their letter registered on April 14, 2023, case number NAIH-2880-9/2023.

II. Clarification of the Facts

(19)

According to the Applicant's request for the initiation of a data protection authority procedure, in the disputed situation regarding the [...] district heating service, the identity of the service provider cannot be determined. The Applicant claims that the Respondent collected the personal data of consumers—thus, the Applicant—in an untraceable manner. The Applicant did not provide their personal data to the Respondent; nevertheless, the Respondent is still processing it.

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(20) Therefore, the Applicant approached the Respondent in accordance with Article 15(3) of the General Data Protection Regulation to ascertain the source of the personal data processed by the Respondent. The Applicant interprets the information received in response as implying that the Respondent assumes that someone else provided the Applicant's personal data on a flyer or data request form, which was subsequently destroyed. According to the Applicant, the Respondent did not verify the authenticity of the data request forms and processes consumers' personal data in disregard of the provisions of the General Data Protection Regulation.

(21) In addition, the Applicant requested a copy of their personal data and the consent statement (data request form) in their access request; however, they received no response to their request, not even

regarding the reason for the failure to respond.

(22) The Applicant therefore requested the Authority to compel the Respondent to provide information about the source of the personal data processed by the Applicant.

(23) Alongside the request initiating the current data protection authority procedure, 27 complaints were submitted to the Authority in 2021, initiating investigative procedures that objected to the Respondent's general data collection practices. In these complaint cases, the Authority did not take substantive action, considering the [...] issue related to district heating services, whereby the previous utility provider, [...] (headquarters: [...]; company registration number: [...]; hereinafter: Company) failed to comply with its obligations under an official decision and was unwilling to transfer the personal data of the affected individuals to the new provider. A legal dispute arose regarding this issue, and in light of this, the Authority did not take action, as it is within the jurisdiction of the court to determine which provider is entitled to provide the service, a question that also affects the legality of data processing. The legality of the data collection operation examined in the current procedure is an independent issue.

(24) The Authority conducted a substantive investigation in a complaint case concerning the exercise of rights by data subjects, in which the Authority found that the Respondent did not provide adequate information to the notifier regarding the processing of their personal data – including the source of their personal data – and violated Article 15 of the General Data Protection Regulation (NAIH-8625/2021).

(25) The Respondent replied to the Authority in a letter registered on August 3, 2022, with case number NAIH-6152-3/2022.

(26) Accordingly, the Respondent recorded that correspondence with the Applicant took place on the following dates:

Date of receipt of the Applicant's inquiries | Date of sending the Data Controller's responses

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November 30, 2021 | December 21, 2021

January 3, 2022 | January 10, 2022

February 8, 2022 | March 8, 2022

July 1, 2022 | July 12, 2022

(27) According to the Respondent's statement, the Respondent processes the Applicant's personal data as a data controller providing district heating utility services, based on Article 6(1)(c) and (e) of the General Data Protection Regulation.

(28) The Respondent, having failed to comply with the obligations of the previous utility provider, [Company], under an official decision, and being unwilling to transfer the personal data of the affected individuals to the Respondent, sent a data request form to the [...] consumer locations in order to obtain the personal data of consumers necessary for fulfilling its utility service obligations. This form was sent by the Respondent.

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was communicated to the public through various channels, published in press products, on its website, in downloadable form, and placed in mailboxes regarding district heating consumption locations.

(29) The scope of personal data processed by the Applicant was thus obtained through individual data recording. The sources of this data are, on one hand, from customer service, and on the other hand, from paper forms submitted by mail or electronic message, as well as consumer bills and checks. This data was recorded manually into a database created by the Applicant, which was subsequently migrated to the billing software database.

(30) According to the Applicant's statement, the consumer personal data is thereafter stored solely in the software database, as paper-based data carriers are destroyed to prevent data protection incidents. Subsequently, the billing data will continue to be stored in the software database and used for billing purposes.

(31) According to the response, the Applicant was unable to verify the authenticity of the data requests received in extraordinary quantities or the accuracy of the data content individually; it only conducted random checks. However, upon notification from the affected party, the Applicant promptly deleted any incorrect or inaccurate personal data. Furthermore, the Applicant also requested the consumers' data necessary for contract conclusion within the same data collection scope, which is required for individual consumer notifications.

(32) The Applicant referred to Section 37 (1) of Act XVIII of 2005 on District Heating Services (hereinafter: District Heating Act), which states that the service provider is obligated to contract with the consumer, and according to paragraph (5) of the same legal provision, the contract is established upon the use of the service.

(33) Due to the attributable behavior of the previous service provider, the Applicant did not have the necessary data for the contract, the content of which is governed by point 9 of Annex 3 of Government Decree 157/2005 (VIII. 15.) on the implementation of Act XVIII of 2005 on District Heating Services. The Applicant used the processing of these contractual data to establish individual public service contracts for consumers, which can be prepared and sent to consumers after the authority's approval of the service provider's business regulations.

(34) According to the Applicant's statement, the assertion made by the Applicant that they received information from the Applicant stating that "their personal data was submitted by someone else on a flyer" is not true; such information was not provided by the Applicant during the extensive correspondence with the Applicant.

(35) According to the Applicant's statement, the personal data of consumers utilizing district heating services, including that of the Applicant, is processed during the existence of the public utility service relationship and after its termination, until the general limitation period of 5 years, and until the deadline specified in Act C of 2000 on Accounting (hereinafter: Accounting Act). In other words, regarding the data processed for the purpose of issuing and retaining documents, the duration of data processing is 8 years following the termination of the contract, while in the case of potential legal disputes, the Applicant processes the consumer personal data until the resolution of the dispute.

(36) The Applicant also sent the complete documentation of the correspondence between the Applicant and the Applicant.

(37) According to the Applicant's statement, in the case of any assertion of rights by the affected parties or data protection complaints, including in the case of the Applicant, the Applicant follows a general procedure related to the exercise of affected rights (information, right to object, data deletion, restriction of data processing), which the Applicant also submitted to the Authority.

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(38) The Applicant was unable to send the consent statement regarding the processing of the Applicant's personal data at the request of the Authority, considering that the consumer personal data related to district heating services is processed not under Article 6(1)(a) of the General Data Protection Regulation, but rather under Articles 6(1)(c) and (e) of the General Data Protection Regulation.

(39) In its letter submitted electronically under case number NAIH-6152-5/2022 – and also submitted by post under case number NAIH-6152-6/2022 – the Applicant provided a copy of the data request form used to obtain consumers' personal data, as well as the data processing information related to the data request form.

(40) According to the Applicant's statement in its electronic letter under case number NAIH-6152-12/2022 and in the postal letter with the same content under case number NAIH-6152-13/2022, it was unable to send the forms, invoices, checks, and other documents related to the Applicant due to the fact that the data request form containing consumer data collected during the data collection related to district heating services was destroyed to avoid data duplication and data protection incidents.

(41) According to the Applicant's statement, during the data acquisition process, a unified data processing operation was carried out, during which the received data was recorded in its electronic database through manual data entry, and then the entire content of the resulting electronic database was migrated to the billing software. This unified data processing operation was suitable for the Applicant, as the data controller, to have an appropriate database for fulfilling its utility service obligations. At the conclusion of the unified data processing operation – which involved two technical steps, manual data entry and the migration of the digitized database – the deletion of these two databases was justified. At the same time, the Applicant provided the previous licensee, [Company], with the receipts proving the payment of the invoices for July, August, and September 2021 issued by [Company] and paid by it. According to the Applicant's statement, it did not destroy the receipts of these postal cash transfer orders after the migration of the personal data contained therein to the billing program because it uses them as evidence in a civil lawsuit regarding the enforcement of a civil claim against the previous licensee.

(42) Furthermore, according to the Applicant's statement, the Applicant has made payments to the Applicant several times for the fees invoiced for district heating services. The fees were paid by the Applicant via cash transfer orders. The Applicant sent the Authority the account statement, which includes the fees paid to the previous licensee for July, August, and September 2021, and the utility fees paid since then.

(43) According to the Applicant's statement, the previous licensee [Company] exhibited explicitly malicious and unlawful behavior by not providing the necessary consumer (and thus personal) data to the Applicant as the new district heating service licensee, although [Company] was obliged to do so under both the District Heating Act and the decision issued by the Hungarian Energy and Public Utility Regulatory Authority (hereinafter: MEKH) based on it, as follows.

(44) By its decision number [...] MEKH revoked the district heating service license of the previous licensee [Company] as of July 1, 2021, and then by its decision number [...] designated the Applicant as of July 1, 2021. The legality of this is contested by [Company] in court. In its decision issued under number H [...] MEKH designated the Applicant as the licensed operator of district heating services as of July 1, 2021.

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(45) Considering that the Applicant is the new licensee based on the decision of the MEKH, it is therefore entitled to process the personal data necessary for providing utility services to consumers utilizing district heating services.

(46) Section 20 of the District Heating Act provides for the revocation of the district heating service license and the maintenance of district heating supply, within which subsection (2) stipulates that if the MEKH revokes the district heating service license, a new license must be issued or a new licensee must be designated simultaneously. Subsection (5) provides, among other things, for the transfer of consumer data as follows: "In the case referred to in subsection (2), the previous licensee is obliged to transfer to the new or designated licensee, against compensation, the equipment necessary for continuous and secure district heating production and service as determined by the Office, and to provide the records and data necessary for the exercise of the activity." Subsection (6) further stipulates that "The licensee shall transmit the personal data necessary for the identification of the affected users and for ensuring their continuous and secure district heating supply to the new licensee as referred to in subsection (2) for the purpose of taking preparatory actions for the takeover of the affected users." The data necessary for the identification of users, in the case of natural persons, includes their name, address, mother's name, place of birth, and date of birth. The designated licensee shall process the data received until the completion of the handover procedure.

(47) In its decision number [...] dated July 1, 2021, the MEKH obligated [the Company] to transfer consumer data (personal data). According to point II.1 of the decision, the Applicant is obliged to promptly receive the data of payers and users, as well as all other data and records necessary for billing from [the Company], which holds a district heating service operational license, by the transfer deadline (July 1, 2021).

(48) According to the Applicant's statement, despite the above, [the Company] did not transfer any consumer data to the Applicant. As a result, the Applicant, as the licensee, had to begin fulfilling its district heating service obligations without having any data or information necessary for lawful and secure provision: it did not even have knowledge of who the consumers were, to whom, and where it was obliged to provide utility services. Since the previous licensee unlawfully failed to transfer the consumer personal data, the Applicant turned to the consumers in the service area, requesting their cooperation in ensuring the uninterrupted operation of the utility service. The Applicant requested that the service users provide the data necessary for the lawful and secure provision of the service, including consumer personal data. In this emergency situation, the Applicant decided to obtain consumer personal data through a public call using a data request form.

(49) The Applicant confirmed its previous statement that in the case of data request forms, it ensured the principle of accuracy, authenticity, and up-to-dateness by calling on consumers to promptly inform the Applicant, as the data controller, if their personal data recorded in the registry were inaccurate or if there had been any changes, so that the correct, accurate, and current data could be communicated, which changes would be promptly reflected in the consumer's master data sheet.

(50) According to the Applicant's statement, the deletion of incorrect data is performed – at a theoretical level – solely in the billing software, as it is only recorded there. However, in practice, in the case of inaccurate or erroneous data, no data deletion has occurred; only data modifications have taken place, and the Applicant has not deleted any data. Personal data would only be deleted if an affected individual appeared in the registry who is not a consumer of the Applicant's utility service. This has not occurred so far.

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(51) According to the statement of the Applicant, based on Article 17(3)(b) of the General Data Protection Regulation, the data subject cannot request the deletion of their personal data if the processing of the data is necessary for compliance with a legal obligation to which the data controller is subject under Union or Member State law, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. The Applicant processes consumer personal data under the District Heating Act for the purpose of providing public utility services. Therefore, the Applicant cannot fulfill requests for the deletion of personal data of the data subject unless they pertain to specific erroneous data.

(52) According to the statement of the Applicant, consumer personal data is processed based on Article 6(1)(e) of the General Data Protection Regulation. The processing of personal data is necessary for the fulfillment of the Applicant's obligations under the district heating public utility service. According to Section 3(q) of the District Heating Act, "district heating service is a public service that provides heating and other energy supply for utilization purposes to the user through a district heating pipeline network from a district heating production facility, carried out as a business activity by the licensee." Therefore, the district heating public utility service provided by the Applicant is a public service activity that entails mandatory tasks, such as the provision of district heating and hot water. In this context, the Applicant processes the personal data of the data subjects, including that of the Applicant, within the necessary framework for the execution of its public interest tasks, based on Article 6(1)(e) of the General Data Protection Regulation.

(53) In its previous statement, the Applicant indicated both Article 6(1)(c) and (e) of the General Data Protection Regulation as the legal basis for its data processing, as it assumed that the parallelism of the legal bases could be derived from both the text of the General Data Protection Regulation and the recitals (45)-(46).

(54) According to the Applicant's legal interpretation, it is conceivable that multiple legal bases may coexist for the same data processing under Article 6 of the General Data Protection Regulation. However, considering that the Authority objected to this interpretation, the Applicant designated solely Article 6(1)(e) of the General Data Protection Regulation as the legal basis for its data processing and accordingly modifies the relevant part of its data processing and data protection policy.

(55) According to the statement of the Applicant, it cannot precisely determine the number of data request forms submitted and subsequently destroyed after the migration of their content, but it can specify the number of receipts confirming the payment of invoices paid to the previous licensee for July, August, and September 2021. Based on this, a total of 17,524 payment receipts were received by the Applicant. No separate record was kept of the number of data request forms, as the Applicant has no legal obligation in this regard. The receipts serve to confirm financial performance and do not constitute the basis for the processing of personal data. Furthermore, not every data request form was accompanied by a financial performance confirmation receipt, as there were consumers who did not fulfill their obligations to the previously billing licensee unlawfully.

(56) According to the statement of the Applicant, on the date of the declaration – November 29, 2022 – a total of 20,305 partner codes were recorded in the billing software for consumers utilizing district heating services. No other documentation is available to the Applicant outside of the billing software regarding this data.

(57) According to the statement of the Applicant, at the beginning of its district heating public utility service activity, it accessed users' personal data solely from the content of the data request forms. The Applicant, while processing the content of the data request forms, simultaneously processed the consumers' personal data.

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processed personal data appearing on utility bills issued by the previous licensee and/or on the receipts confirming the payment of fees listed on the utility bills. The background to this is as follows: The previous licensee, despite not having a district heating service license since July 2021, continuously issued bills to consumers, meaning it was not providing services and thus was not entitled to the payment for district heating services. Due to the illegal and maliciously misleading practices of [Company], some consumers continued to pay the utility fees to the previous licensee, who did not have a license and was not entitled to district heating fees. [...] In its decision number [...] the authority decided that the district heating fees paid by consumers in July, August, and September 2021 to the previous licensee, although they should have been due to the new licensee, the Applicant, would be recognized as valid payments from the consumers and would not be demanded back from them. The authority obliged the Applicant to credit these payments for the three months to the consumers' accounts. As proof of payment, consumers must present the payment receipt to the Applicant. The copies of postal receipts and bank account statements were retained by the Applicant for the purpose of using them as evidence in civil proceedings to enforce the fees that were due to it for the months of July to September 2021 but were unlawfully collected by [Company]. These documents, which were voluntarily provided by the consumers to the Applicant, are part of the ongoing civil case materials. These copies of receipts are still in the Applicant's data processing, as they are necessary for the enforcement of its legitimate interests.

(58) According to the Applicant's statement, the Requester also submitted the receipts confirming the payments for July to September 2021 to the Applicant, copies of which are still available to the Applicant. The Applicant's statement indicates that it can be reasonably inferred from this that the Requester submitted the payment receipts along with the data request form; however, while the latter was destroyed by the Applicant for the reasons mentioned above, the copies of the payment receipts were retained by the Applicant as evidence for enforcing claims against the previous licensee.

(59) The Applicant reiterated its statement that paper-based data carriers would be promptly destroyed following the migration to the electronic database. Nevertheless, the Applicant maintains that the destruction of paper-based forms is not a data processing activity but merely a technical step, as the same personal data, in the same extent, continues to be processed on the same legal basis; only the technical form of data storage changes. The Applicant cannot provide a separate document regarding this.

(60) The Requester informed the Authority in its letter with file number NAIH-2880-2/2023 that it sent its payment receipts for July, August, and September 2021 to the Applicant, claiming that this was done in June 2022, thereby reducing the amount of its later payment obligation when it would become

clear which service provider was entitled to collect the monthly fees. According to the Requester's statement, it can also be established from the content of the letter that it seeks to answer the question of how the Applicant knows the Requester's personal data, which neither the Requester nor the previous service provider provided to the Applicant. The Requester rejects the Applicant's claim that it itself sent the data notification form to the Applicant.

(62) In its letter with file number NAIH-2880-4/2023, the Applicant stated that the Requester submitted the receipts confirming the payments for July to September 2021 to the Applicant.

10. The sender receipts for postal cash transfer orders, copies of which are currently available to the Respondent. According to the Respondent, it can reasonably be inferred from all of this that the Applicant submitted the data request form along with the payment receipts; however, while the latter was destroyed by the Respondent, the copies of the sender receipts confirming the payments were retained as evidence for the enforcement of a claim against the previous permit holder. If the Applicant had not acknowledged the Respondent's entitlement to district heating services and its associated data processing rights, they would not have sent the copies of the payment receipts to the Respondent.

(63) According to the Respondent's statement, the Applicant's declaration is misleading in that it indicates the date of the Respondent's registration of the sender receipts for the postal cash transfer orders (February 8, 2022) and specifies an earlier date (November 29, 2021) as the date of the request aimed at exercising the affected right, thereby creating the impression that at the time of the request to exercise the affected right, the Respondent could not have had the data sent months later.

(64) The Respondent's statement, however, is false in that the emails containing the sender receipts for the postal cash transfer orders were received by the Respondent on November 2, 2021, from the [...] email address. The Respondent has provided this email message to the Authority. At the same time, the Respondent acknowledged that the registration of the affected letter was only carried out with significant delay.

(65) According to the Respondent's statement – in accordance with its previous statements – the Applicant's personal data was recorded based on the data request form.

(66) In its letter with case number NAIH-2880-10/2023, the Respondent confirmed its previously stated declarations with the addition that the Respondent, as the data controller, strives to fully comply with the obligations set forth in applicable laws. In 2021, due to the unlawful conduct of the previous district heating provider, the Respondent faced difficulties that it would not have had to contend with had the previous provider fulfilled its obligations as stipulated by law and authority decision. To commence data processing activities arising from statutory and authority decisions and to collect personal data, the Respondent had to resort to an unusual means (individual data request), which, while not unlawful, is undoubtedly not standard during a change in the identity of a utility provider. Nevertheless, the Respondent maintains that it did not and does not engage in unlawful data collection or processing.

(67) According to the Applicant's statement with case number NAIH-2880-9/2023, two properties are listed in the Respondent's records under consumption identifier number [...]. The data protection dispute only concerns the consumption point number [...]. The Applicant's father resides there on a permanent basis. The Applicant has no connection to the payments made there and has not provided any data related to this consumption point; however, the Applicant's data has been recorded in the Respondent's records from an unknown source.

(68) According to the Applicant's statement, the [...] email address referred to by the Respondent is the email address of the Applicant's father.

(69) In light of all this, the Applicant rejects any attempt to associate the payments initiated by their father with the Applicant's data protection complaint in any form. In the Applicant's view, the Respondent could not credibly prove the source of the Applicant's data based on the information provided, as the Applicant did not provide those data to the Respondent and did not consent to their processing.

(70) The Applicant also attached a statement from his father, which states that the Applicant is the owner of the property located at [...], but the costs related to it – specifically the district heating service costs – are paid by the Applicant's father, and the Applicant's data protection dispute is independent of this.

III. Applicable Legal Provisions

(71) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation must be applied to the data processing in this case.

(72) Pursuant to Section 2(2) of Act CXII of 2011 on the Right to Informational Self-Determination and Freedom of Information (hereinafter: Infotv.), the General Data Protection Regulation must be applied with the supplements specified therein.

(73) According to Section 60(1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure upon request. The rules of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure, with the supplements defined in the Infotv. and the deviations according to the General Data Protection Regulation.

(74) Based on Section 60(2) of the Infotv., a request for the initiation of a data protection authority procedure may be submitted in the cases specified in Article 77(1) and Section 22(b) of the General Data Protection Regulation.

(75) According to Article 77(1) of the General Data Protection Regulation, without prejudice to other administrative or judicial remedies, every data subject has the right to lodge a complaint with a supervisory authority – particularly in the Member State of their habitual residence, workplace, or the place of the alleged infringement – if the data subject believes that the processing of personal data concerning them infringes this Regulation.

(76) According to Article 4(1) of the General Data Protection Regulation: “personal data”: any information relating to an identified or identifiable natural person (“data subject”); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

(77) According to Article 4(2) of the General Data Protection Regulation: “processing”: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction.

(78) According to Article 4(7) of the General Data Protection Regulation: “controller”: the natural or legal person, public authority, agency, or any other body which, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union or Member State law, the controller or the specific criteria for the designation of the controller may also be provided for by Union or Member State law.

(79) According to Article 4(11) of the General Data Protection Regulation: “the data subject’s consent”: the voluntary, specific, informed, and unambiguous indication of the data subject’s wishes by which they, by a statement or by a clear affirmative action, signify agreement to the processing of personal data concerning them.

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declaration, by which the data subject indicates unequivocally, through a statement or an act of confirmation, that they consent to the processing of their personal data.

(80) According to Article 6(1)(a) and (e) of the General Data Protection Regulation: “The processing of

personal data is lawful only if at least one of the following applies:

a) the data subject has given consent to the processing of their personal data for one or more specific purposes;

[...]

e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.”

(81) According to Article 7(1) of the General Data Protection Regulation: “If the processing is based on consent, the data controller shall be able to demonstrate that the data subject has consented to the processing of their personal data.”

(82) According to Articles 12(1)-(6) of the General Data Protection Regulation: “(1) The data controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, and all information referred to in Articles 15–22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, particularly when addressing any information to children. The information shall be provided in writing or by other means – including, where appropriate, by electronic means. Upon request of the data subject, verbal information may also be provided, provided that the identity of the data subject has been verified by other means.

(2) The data controller shall facilitate the exercise of the rights of the data subject as laid down in Articles 15–22. In the cases referred to in Article 11(2), the data controller shall not refuse to act on a request from the data subject to exercise their rights under Articles 15–22, unless it demonstrates that it is not in a position to identify the data subject.

(3) The data controller shall provide the data subject with information on actions taken in response to a request under Articles 15–22 without undue delay and in any event within one month of receipt of the request. If necessary, taking into account the complexity of the request and the number of requests, this period may be extended by a further two months. The data controller shall inform the data subject of any such extension within one month of receipt of the request, together with the reasons for the delay. If the data subject has made the request by electronic means, the information shall be provided by electronic means where possible, unless the data subject requests otherwise.

(4) If the data controller does not take action on the request of the data subject, it shall inform the data subject without undue delay and at the latest within one month of the receipt of the request of the reasons for not taking action, as well as the possibility of lodging a complaint with a supervisory authority and seeking a judicial remedy.

(5) The information referred to in Articles 13 and 14, and the information and actions referred to in Articles 15–22 and 34 shall be provided free of charge. If the request from the data subject is manifestly unfounded or excessive, in particular because of its repetitive nature, the data controller may:

a) charge a reasonable fee taking into account the administrative costs of providing the information or communication or taking the action requested; or

b) refuse to act on the request.

The burden of demonstrating the manifestly unfounded or excessive nature of the request shall be on the data controller.

(6) Without prejudice to Article 11, where the data controller has reasonable doubts concerning the identity of the natural person making the request under Articles 15–21, it may request the provision of additional information necessary to confirm the identity of the data subject.”

(83) According to Article 15 of the General Data Protection Regulation: “(1) The data subject has the right to obtain from the data controller confirmation as to whether or not personal data concerning them is being processed.”

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Whether processing is ongoing, and if such data processing is ongoing, the data subject is entitled to access the personal data and the following information:

a) the purposes of the data processing;

- b) the categories of personal data concerned;
 - c) the recipients or categories of recipients to whom the personal data have been or will be disclosed, including in particular third country recipients and international organizations;
 - d) where applicable, the intended duration of storage of the personal data or, if that is not possible, the criteria used to determine that duration;
 - e) the right of the data subject to request from the data controller the rectification, erasure, or restriction of processing of personal data concerning them, and to object to such processing;
 - f) the right to lodge a complaint with a supervisory authority;
 - g) if the data have not been collected from the data subject, all available information on their source;
 - h) the existence of automated decision-making, including profiling, as referred to in Article 22(1) and (4), and at least in those cases, meaningful information about the logic involved and the significance and the envisaged consequences of such processing for the data subject.
- (2) If personal data are transferred to a third country or to an international organization, the data subject is entitled to be informed about the appropriate safeguards relating to the transfer in accordance with Article 46.
- (3) The data controller shall provide a copy of the personal data undergoing processing to the data subject. For any further copies requested by the data subject, the data controller may charge a reasonable fee based on administrative costs. If the request is made electronically, the information shall be provided in a commonly used electronic format, unless the data subject requests otherwise.
- (4) The right to request a copy mentioned in paragraph (3) shall not adversely affect the rights and freedoms of others."

(84) According to Article 23(1) of the General Data Protection Regulation: "Union or Member State law applicable to the data controller or processor may restrict the scope of the rights and obligations provided for in Articles 12 to 22 and Article 34, in accordance with the rights and obligations laid down in Article 5, if the restriction respects the essence of the fundamental rights and freedoms and is a necessary and proportionate measure in a democratic society to safeguard:

- a) national security;
- b) defense;
- c) public security;
- d) the prevention, investigation, detection, or prosecution of criminal offenses, as well as the execution of criminal penalties, including the protection against and prevention of threats to public security;
- e) important objectives of general public interest of the Union or a Member State, in particular, the economic or financial interests of the Union or a Member State, including monetary, budgetary, and tax matters, public health, and social security;
- f) the independence of the judiciary and the judicial proceedings;
- g) the prevention, investigation, detection, and prosecution of ethical violations in regulated professions;
- h) in the cases referred to in points a) to e) and g) – whether on a case-by-case basis – activities related to the exercise of official authority, control, investigation, or regulatory activities;
- i) the protection of the data subject or the protection of the rights and freedoms of others;
- j) the enforcement of civil law claims."

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(85) According to Article 24(1) of the General Data Protection Regulation: "The data controller shall implement appropriate technical and organizational measures to ensure and demonstrate that the processing of personal data is carried out in accordance with this Regulation, taking into account the nature, scope, circumstances, and purposes of the data processing, as well as the risks of varying likelihood and severity for the rights and freedoms of natural persons. These measures shall be reviewed and updated by the data controller as necessary."

(86) According to Article 58(2) of the General Data Protection Regulation: "When exercising its corrective powers, the supervisory authority shall:

- a) warn the data controller or the processor that specific planned processing operations are likely to infringe the provisions of this Regulation;

- b) reprimand the data controller or the processor if their processing activities have infringed the provisions of this Regulation;
- c) instruct the data controller or the processor to comply with a request from the data subject to exercise their rights under this Regulation;
- d) instruct the data controller or the processor to bring processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time frame, where applicable;
- e) instruct the data controller to inform the data subject of a personal data breach;
- f) impose a temporary or definitive limitation on processing, including a ban on processing;
- g) order the rectification or erasure of personal data or the restriction of processing in accordance with Articles 16, 17, and 18, and order the notification of the recipients to whom the personal data have been disclosed, in accordance with Article 17(2) and Article 19;
- h) withdraw a certification or instruct the certification body to withdraw a certification issued in accordance with Articles 42 and 43, or instruct the certification body not to issue a certification if the conditions for certification are not or are no longer met;
- i) impose an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph; and
- j) order the suspension of data flows to a third country or an international organization."

(87) According to Sections 71(1) and (2) of the Information Act, the Authority may process all personal data, as well as data classified as protected secrets and professional secrets, that are related to the procedure and necessary for the successful conduct of the procedure, to the extent and for the duration necessary for its conduct. The Authority may use legally obtained documents, data, or other evidence in other procedures.

(88) According to Sections 20(2), (5), and (6) of the District Heating Act:

(2) Upon the revocation of the license, a new license must be issued or a new licensee must be designated simultaneously.

[...]

(5) In the case referred to in paragraph (2), the previous licensee is obliged to transfer the equipment necessary for continuous and secure district heating production and service to the new or designated licensee for operation against compensation, and to provide the records and data necessary for the exercise of the activity.

(6) The licensee shall forward the personal data necessary for the identification of the affected users and for ensuring their continuous and secure district heating supply to the new licensee or the designated licensee in accordance with paragraphs (2) and (4) for the purpose of taking the necessary preparatory actions for the takeover of the affected users. The data necessary for the identification of the user, in the case of a natural person user, includes their name, address, mother's name, place of birth, and date of birth. The designated licensee shall process the transferred data until the completion of the handover procedure.

****IV. Decisions****

(89) According to the definitions in the General Data Protection Regulation, the data recorded by the Respondent concerning the Applicant and other natural person consumers for the purpose of providing district heating services qualifies as personal data, and any operation performed on personal data, including the storage and use of personal data, is considered data processing.

****IV.1. The Applicant's Access Request****

(90) In this case, the Applicant approached the Respondent in accordance with Article 15(3) of the General Data Protection Regulation to obtain a copy of the personal data processed by the Respondent, as well as the consent statement, specifically a copy of the data request form used by the Respondent, considering that, in the Applicant's view, the Respondent processes the Applicant's personal data without consent. The Applicant received information from the Respondent that led them to conclude that – since they themselves did not submit such a form – the Applicant's personal data was submitted by someone else on the data request form; however, the Respondent could not prove

the source of the Applicant's personal data. Subsequently, the Applicant sought to learn the source of their personal data from the Respondent multiple times, but aside from receiving detailed information about the processing of their personal data, they did not receive a clear answer.

(91) In response to the Applicant's letter dated November 29, 2021, the Respondent provided information in a letter dated December 21, 2021, regarding the source of the Applicant's personal data, stating that "the consumer data related to district heating services, some of which are also personal data, is primarily processed by [...] as the data controller based on the voluntary consent of the consumers. These consumer (personal) data could be submitted to the Data Controller by consumers by filling out the data request form and sending it by post or submitting it in person at our customer service offices."

(92) In response to the Applicant's letter dated December 27, 2021, the Respondent provided the same information regarding the source of the Applicant's personal data in a letter dated January 10, 2022, with the addition that "considering that [...] does not process your personal data based on Article 6(1)(a) of the GDPR, we are unable to fulfill your request to provide your consent statement, as our data processing is not based on the consent of the data subject."

(93) In response to the Applicant's letter dated February 8, 2022 – to which the Applicant sent the Respondent the receipt of their previous payments concerning property number [...] – the Respondent informed the Applicant in a letter dated March 8, 2022, regarding the source of their personal data, stating that "the processing of your personal data is primarily not based on Article 6(1)(a) of the GDPR; our Company processes them based on Article 6(1)(c) and (e) of the GDPR. Therefore, there is no need for the consent of the data subject for the legality of the data processing. In this regard, we note that the personal data was obtained in the context of consumer data provision to [...] as the Data Controller. The original data request forms were destroyed after migration to the electronic database, in order to ensure data minimization, prevent data duplication, and avoid data protection incidents."

(94) In response to the Applicant's letter dated July 1, 2022, the Respondent provided information in a letter dated July 12, 2022, regarding the source of the Applicant's personal data, stating that "in connection with the processing of your personal data, you also requested that we send you your consent statement for the data processing. We are unable to fulfill this part of your request for the following reasons:

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we cannot fulfill. During the consumer data requests, the personal data concerning individual consumers were recorded through unique data entry. After the recording in the electronic database, the submitted data request forms were destroyed to minimize the risk of data security breaches and the occurrence of data protection incidents.

(95) The manner of providing information regarding data processing obligations is detailed in Article 12 of the General Data Protection Regulation. Accordingly, information about personal data must be provided in a concise, transparent, intelligible, and easily accessible form, clearly and in plain language. The information must be provided in writing or by other means.

(96) Article 23(1) of the General Data Protection Regulation further defines the specific cases in which the rights of the data subjects, including the right of access, may be restricted.

(97) Reviewing the response letters sent by the Respondent to the Applicant, which were made available to the Authority, it can be established that the Respondent informed the Applicant about the data processing concerning him in all cases, complying with the requirements set out in Article 15 of the General Data Protection Regulation, with one exception. The Respondent could not clearly prove in its response letters from which source it obtained the Applicant's personal data. The Respondent claimed that the Applicant provided his personal data through the data request form used by the Respondent, thus obtaining the Applicant's personal data; however, after the data form was destroyed in accordance with the procedure established by the Respondent, it could not send it to either the Applicant or the Authority, and therefore could not prove that the Applicant had provided his personal data to the Respondent. At the same time, the Applicant claimed that he did not fill out the data request

form.

(98) According to the rule in Article 15(1)(g) of the General Data Protection Regulation, the data controller is obliged to inform the data subject about the source of the personal data when the data has not been collected from the data subject. However, in the present case, it cannot be clearly established that this condition has been met, as the Respondent merely assumes that the Applicant sent the data request form, while the Applicant denies this.

(99) Furthermore, the only information available to the Respondent and thus to the Authority – supported by documents – is that payments were made concerning the Applicant's properties numbered [...] in July, August, and September 2021. The receipts for the payments related to property number [...] were sent by the Applicant to the Respondent on February 8, 2022, while the receipts concerning property number [...] were sent by the Applicant's father on November 2, 2021. However, the Respondent brought all this information to the attention of the Authority during the proceedings, and did not share this information with the Applicant.

(100) However, it does not necessarily follow from this that these payment receipts are the sources of the Applicant's personal data. The Respondent repeatedly claimed at the beginning of the proceedings that the data request form could be the source of the Applicant's personal data, and then, during further clarification of the facts, concluded that the receipts confirming the payment could be the sources of the data. However, this cannot be a valid answer in the case of property number [...], considering that the Applicant first submitted a data subject request to the Respondent on November 30, 2021, while the receipts for the payments he made were sent to the Respondent on February 8, 2022. The documents sent by the Applicant's father on November 2, 2021, concerning property number [...] could be one of the sources of the Applicant's personal data; however, the Respondent could not clearly prove this either, it only assumes. Furthermore, from the fact that the Applicant paid for the service fee, and then he – or his father – sent the information to the Respondent, it does not automatically imply that these documents are the sources of the Applicant's personal data.

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the receipts proving their payments, it does not follow that the Applicant had provided their personal data to the Respondent on the data request form.

(101) Consequently, the Authority establishes that the Respondent did not provide adequate information to the Applicant, thereby violating Article 15(1)(g) of the General Data Protection Regulation.

IV.2. General Data Processing Practice for Collecting Users' Personal Data

(102) Article 5 of the General Data Protection Regulation contains the main principles that must be considered during the processing of personal data, and which must continuously apply throughout the data processing.

(103) An additional requirement for the lawfulness of data processing is that the processing must be based on one of the legal grounds specified in Article 6(1) of the General Data Protection Regulation, and the data controller must provide appropriate information regarding the data processing.

(104) The Respondent referred to the legal grounds for processing the personal data of the Applicant and consumers under Article 6(1)(c), (e), and (a) of the General Data Protection Regulation.

(105) In this regard, it can be established that the legal basis for data processing related to the provision of district heating services as a public task is Article 6(1)(e) of the General Data Protection Regulation, considering the District Heating Act and its implementing regulation, which define the details of data processing related to the provision of district heating services. Therefore, this mandatory data processing is carried out by the Respondent on an appropriate legal basis.

(106) This is different from the contested and exceptional data processing operation in the present case, where the Respondent attempted to collect consumers' personal data for the provision of the service. During the issues related to the change of service provider, the previous utility provider,

[Company], did not transfer the personal data of the affected individuals to the new provider, the Respondent. Therefore, the Respondent sent a data request form to the [...] consumer locations to obtain the personal data of consumers necessary for fulfilling its utility service obligations. This form was distributed by the Respondent through various channels, published in press products, made available for download on its website, and placed in mailboxes concerning district heating consumption locations. The data provided on the data request form was recorded manually into a database created by the Respondent, which was subsequently migrated to the billing software database. The Respondent then stores the consumer personal data exclusively in the software database, as it has destroyed paper-based data carriers to prevent data protection incidents. The Respondent based this data collection through data request forms on the consent of the affected individuals. However, since the legal basis for the Respondent's data processing is Article 6(1)(e) of the General Data Protection Regulation, this specific data collection is also considered to fall under this legal basis.

(107) The Authority finds it acceptable that the Respondent collected consumer personal data through data request forms. However, this data collection did not exempt the Respondent from the obligation to comply with the requirements of the General Data Protection Regulation during the data collection process.

(108) Such a requirement is appropriate information. Appropriate information is that through which the affected individuals become aware of the data processing related to their personal data, and the information provided...

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The right to informational self-determination can be exercised through this. The requirement for prior information of the data subject is detailed in Article 13 of the General Data Protection Regulation.

(109) The Authority reviewed the data processing information prepared in connection with the data collection related to the data request form, from which it can be established that the Applicant provided detailed information regarding the data processing related to district heating services. However, the process of data collection through the data request forms differs from this, and therefore a suitable data processing information document would have been necessary for that as well. However, the Applicant did not have such a document.

(110) It would have been appropriate for the data subject to fill out the data request form with knowledge of the information and to submit it to the Applicant. Furthermore, the Applicant should have ensured the enforcement of principles and guarantees, such as ensuring compliance with the principle of accuracy.

(111) However, this does not mean that the Applicant's mandatory data processing related to district heating services is entirely unlawful. Data collection is a separate specific data processing operation in terms of time and activity, but once the personal data was recorded in the Applicant's registry, the data processing continued as necessary mandatory data processing for the execution of the Applicant's public interest task, in accordance with general rules.

(112) Furthermore, reviewing the statements made by the Applicant regarding the source of the personal data of the Requester and other consumers, and the content of point IV.1 of the reasoning of this decision, it can be established that the Applicant was unable to prove that the Requester and other affected consumers provided their personal data through the data request form.

(113) This is supported by the fact that the Applicant, immediately after recording the data provided on the data request forms in its electronic system, destroyed the forms on the grounds of avoiding data protection incidents. However, in the absence of the data request forms, as this case also demonstrates, the Applicant is unable to provide a clear answer regarding whether the personal data of the Requester and other consumers was indeed collected based on their consent from the data request forms; it can only be assumed.

(114) According to the accountability requirement under Article 5(2) of the General Data Protection Regulation, the data controller is responsible for compliance with data protection principles and must

be able to demonstrate such compliance. Accordingly, the data controller is obliged to document and record the data processing in such a way that its legality can be proven later.

(115) Pursuant to Article 24(1) of the General Data Protection Regulation, the data controller must implement appropriate technical and organizational measures to ensure and demonstrate that the processing of personal data complies with the requirements of the General Data Protection Regulation. These measures must be reviewed by the data controller and updated as necessary. Accordingly, the data controller must incorporate measures and guarantees into the data processing process that facilitate compliance with data protection principles and the exercise of the rights of data subjects.

(116) In connection with data collection, the fact that the Applicant collected data from the Requester and consumers on data request forms can be clearly evidenced by the storage of the data request forms, and thus it can also be clearly evidenced that the source of the personal data is indeed the data request form. Additionally, the data request forms need to be retained for a certain period due to the necessity of ensuring further rights of data subjects – in the Authority's view, at least until the resolution of issues related to the service provider change – since, for example, in the case of a typographical error, the data request form...

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can certify that the erroneous recording in the electronic register occurred based on it. The Authority's position is that the mere storage of data request forms for these purposes—while maintaining data security requirements, in a locked manner, with appropriate protection and regulation—cannot cause a data protection incident.

(117) The Applicant also stated that it was unable to individually verify the authenticity of the data requests that arrived in extraordinary quantities, and could only perform random checks; however, upon notification from the data subjects, it promptly deleted the erroneous, inaccurate personal data. Regarding this practice, the Authority's position is that the lack of authenticity could lead to a data protection incident, as the Applicant may store data of unidentified individuals—potentially submitted by others—and cannot prove that the data originates from the data controller, nor does it adequately ensure the rights of the data subjects. If no request from the data subjects is received for data correction, the Applicant may store incorrectly recorded personal data without correction for an indefinite period. Therefore, random checks do not ensure the accuracy of the data.

(118) Based on all of this, the Applicant—due to the procedure it established—was unable and cannot prove that the Applicant and other natural person consumers actually provided their personal data to the Applicant through the data request form, or that they consented to the data collection. Thus, beyond not being able to prove to the data subjects what or who the source of their personal data is, it does not store information regarding whether it collected the data from the data subjects or from others, and it cannot present or prove this to the Authority, nor can it demonstrate how many completed data request forms it received in total. Despite the Authority specifically requesting that the Applicant send the consent statement regarding the processing of the Applicant's personal data—along with the data request form—the Applicant was unable to do so. With this practice, the Applicant also hinders the exercise of the rights of the data subjects.

(119) In light of all of this, the Authority officially establishes that the Applicant, through its data collection practice via data request forms, has violated the principle of accountability under Article 5(2) and Article 24(1) of the General Data Protection Regulation, as it did not take appropriate technical and organizational measures and is unable to prove the source of the personal data of the data subjects, as well as the authenticity and accuracy of the personal data.

(120) According to the Authority, the Applicant's data collection practice would have complied with the requirements set out in Article 5(2) and Article 24(1) of the General Data Protection Regulation if it could have proven that the data subject consented to the data collection, which could have been evidenced by the storage of the data request forms, or for example, by recording an entry in the Applicant's electronic register indicating that the data subject consented to the data collection, thus the source of the data is the data request form. Accordingly, in any future potential data collections, the

Applicant needs to change its data processing practice, ensuring the accuracy of the data and generally the exercise of the rights of the data subjects.

V. Legal Consequences

(121) In light of the statements made in Section IV of this decision, the Authority establishes, based on Article 58(2)(b) of the General Data Protection Regulation, that the Applicant has violated Article 15(1)(g), Article 5(2), and Article 24(1) of the General Data Protection Regulation.

(122) Due to the violation of Article 5(2) and Article 24(1) of the General Data Protection Regulation, the Authority, pursuant to Article 58(2)(d) of the General Data Protection Regulation...

Based on point 20, the Authority instructs the Applicant to align its data processing operations with the provisions of the General Regulation, complying with the requirements of accountability, data protection by design and by default, and to demonstrate compliance to the Authority.

(123) The Authority has ex officio examined whether it is justified to impose a data protection fine on the Applicant. In this context, the Authority considered all circumstances of the case based on Article 83(2) of the General Data Protection Regulation, point b) of Section 61(4) of the Infotv., and Section 75/A of the Infotv., and determined that in the case of the violations uncovered during this procedure, a warning would neither be proportional nor have a deterrent effect, therefore imposing a fine is necessary.

(124) In determining the amount of the fine, the Authority primarily took into account that the violations committed by the Applicant qualify as a violation belonging to the higher fine category according to point b) of Article 83(5) of the General Data Protection Regulation.

(125) In determining the amount of the data protection fine, the Authority considered as aggravating circumstances that:

- The Applicant's data collection practice affects a wide range of individuals, as indicated by the Applicant's statement that it could not verify the authenticity of the data requests received in extraordinary quantities individually, but only conducted random checks [Article 83(2)(a) of the General Data Protection Regulation];
- The legal harm caused by the data collection conducted by the Applicant was due to the Applicant's negligent behavior, lacking appropriate technical and organizational measures, and its data collection practice [Article 83(2)(b) and (d) of the General Data Protection Regulation].

(126) In determining the amount of the data protection fine, the Authority considered as mitigating circumstances that:

- The Applicant has not yet been sanctioned for violating the General Data Protection Regulation [Article 83(2)(e) of the General Data Protection Regulation];
- The personal data affected by the violation do not belong to the special categories of personal data [Article 83(2)(g) of the General Data Protection Regulation];
- The Authority exceeded the administrative deadline [Article 83(2)(k) of the General Data Protection Regulation];
- The Applicant intended to fulfill its task related to the provision of services with its data collection practice due to problems arising from changes in the personnel of the district heating service provider [Article 83(2)(k) of the General Data Protection Regulation].

(127) In determining the data protection fine imposed on the Applicant, the Authority did not consider the circumstances under points c), f), h), i), and j) of Article 83(2) of the General Data Protection Regulation to be relevant, as they cannot be interpreted in relation to the specific case.

(128) In determining the amount of the fine, the Authority took into account that the violations committed by the Applicant qualify as a violation belonging to the higher maximum fine category according to Article 83(5) of the General Data Protection Regulation.

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(129) The Authority took into account the provisions contained in the European Data Protection Board's Guidelines 4/2022 when determining the amount of the fine (hereinafter: Guidelines), which

outlines the calculation aspects for imposing administrative fines under the General Data Protection Regulation. In this regard, the determination of the fine amount was based on the following criteria:

- The net sales revenue of the Applicant in the year 2021 was 3,667,330,000 HUF. Based on this, the imposed fine is 0.014% of this amount.
- The net sales revenue of the Applicant in the year 2022 was 8,003,866,000 HUF. Based on this, the imposed fine is 0.006% of this amount.
- The Authority considered the period of the infringement, as well as publicly available management data, in relation to the years 2021 and 2022 at the time of the decision.
- According to Article 83(4) of the General Data Protection Regulation, the Applicant may be subject to an administrative fine of up to 20,000,000 EUR for the infringements committed [static fine maximum], or in the case of enterprises, an amount not exceeding 4% of the total annual worldwide turnover of the previous financial year [dynamic fine maximum], with the higher amount being imposed.
- 4% of the Applicant's revenue for 2022 is 320,154,640 HUF, which, at the current HUF/EUR exchange rate, does not exceed the so-called static fine maximum defined by the regulation, i.e., the amount equivalent to 20,000,000 EUR. Since the fine must be calculated and proportioned based on the higher category applicable in the given case between the static and dynamic amounts, the Applicant may be subject to an administrative fine of up to an amount equivalent to 20,000,000 EUR in this case.
- According to the Guidelines, for those infringements that fall under the fine category specified in Article 83(5) of the General Data Protection Regulation, which is subject to the 20,000,000 EUR static fine maximum, further examination is required regarding the enterprise's net revenue from the previous year, as well as the severity of the infringement (low, medium, or significant severity).
- The Authority assessed the infringements committed, the established facts, and the aggravating and mitigating circumstances relevant to the case, and deemed the infringements in this case to be of low severity.
- In this case, the Applicant's net revenue from the previous year was 8,003,866,000 HUF, which, calculated at the current HUF/EUR exchange rate, falls into the category between 10,000,000 EUR and 50,000,000 EUR as indicated by the Guidelines, considering the management data of the enterprises.

- According to the Guidelines, if the enterprise's net revenue from the previous year falls between 10,000,000 EUR and 50,000,000 EUR, the maximum amount of the fine that can be imposed for higher severity infringements rises to 2,000,000 EUR.

2 Guidelines 04/2022 on the calculation of administrative fines under the GDPR (Version 2.0.). Online: https://edpb.europa.eu/system/files/2023-06/edpb_guidelines_042022_calculationofadministrativefines_en.pdf

3 See the tables on pages 44-45 of the Guidelines ("Step 1" and "Step 2").

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- In this case, considering the above economic data of the Applicant, the maximum fine that can be imposed for the serious violations committed by them is 2,000,000 EUR.
- Therefore, the imposed fine is proportional to the severity of the violation, and cannot be considered excessive; it is an extremely negligible amount compared to the economic weight of the Applicant and the financial resources available to them.

VI. Other Questions

The Authority's jurisdiction is determined by Section 38 (2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(130) The Authority's decision is based on Sections 80-81 of the Ákr. and Section 61 (1) of the Infotv. The decision becomes final upon its communication in accordance with Section 82 (1) of the Ákr.

Pursuant to Section 112, Section 114 (1), and Section 116 (1) and (4) d) of the Ákr., there is a right to remedy against the decision through administrative litigation.

(131) The rules of administrative litigation are determined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12 (1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13 (3) a) aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27 (1) b) of the Kp., in a legal dispute where the court is exclusively competent, legal representation is mandatory. According to Section 39 (6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the validity of the administrative act.

(132) Section 29 (1) of the Kp. and, in this regard, Section 604 of Act CXXX of 2016 on Civil Procedure are applicable, and according to Section 9 (1) b) of Act CCXXII of 2015 on General Rules of Electronic Administration and Trust Services, the client's legal representative is obliged to maintain electronic communication.

(133) The time and place for submitting the statement of claim are determined by Section 39 (1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77 (1)-(2) of the Kp.

(134) The amount of the administrative litigation fee is determined by Section 45/A (1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the proceedings is exempt from the prior payment of the fee under Section 59 (1) and Section 62 (1) h) of the Itv.

(135) If the Applicant does not properly prove the fulfillment of the prescribed obligation, the Authority will consider that they have not fulfilled their obligations within the deadline. According to Section 132 of the Ákr., if the Applicant fails to comply with the obligation stated in the Authority's final decision, it is enforceable. The Authority's decision becomes final upon communication according to Section 82 (1) of the Ákr. According to Section 133 of the Ákr., the enforcement – unless otherwise provided by law or government decree – is ordered by the authority that made the decision. According to Section 134 of the Ákr., the enforcement – unless otherwise provided by law, government decree, or a local government regulation in a local government authority matter – is carried out by the state tax authority. According to Section 61 (7) of the Infotv., regarding the obligation to perform a specific act, to behave in a certain manner, to tolerate, or to cease a specific behavior stated in the Authority's decision, the enforcement of the decision is carried out by the Authority.

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(136) The Authority exceeded the one hundred and fifty-day administrative deadline set forth in Section 60/A (1) of the Infotv. during the proceedings; therefore, based on Section 51 b) of the Ákr., it will pay ten thousand forints to the Applicant – at their choice – by bank transfer or postal money order.

Dated: Budapest, July 7, 2023.

Dr. habil. Attila Péterfalvi

President

University Professor